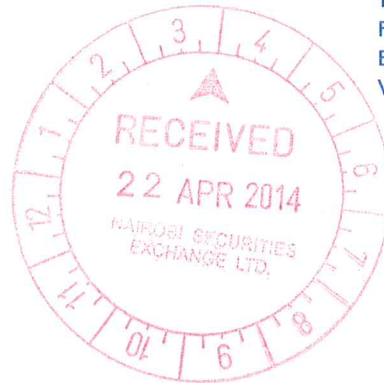




22 April 2014

Chief Executive Officer
Nairobi Securities Exchange Ltd.
55 Westlands Road
P. O. Box 43633
NAIROBI



Dear Sir,

**RE: HOUSING FINANCE UN-AUDITED GROUP RESULTS
AS AT 31 MARCH 2014**

Please find enclosed a copy of our Group and Company un-audited results for the period ended 31 March 2014 for your information and retention.

Please acknowledge receipt on the attached copy of this letter.

Yours faithfully,

Sam Waweru
Finance & Administration Director

Enc.



HOUSING FINANCE

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

I	STATEMENT OF FINANCIAL POSITION AS AT 31 MARCH 2014	Bank			Group Consolidated		
		31.03.2013	31.12.2013	31.03.2014	31.03.2013	31.12.2013	31.03.2014
		Unaudited	Audited	Unaudited	Unaudited	Audited	Unaudited
A.	ASSETS	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1	Cash balances (both local and foreign)	106,894	133,333	150,119	106,894	133,333	150,119
2	Balances due from Central Bank of Kenya	2,546,157	1,605,984	1,605,984	2,546,157	1,605,984	1,605,984
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-
5	Investment Securities:	-	-	-	-	-	-
	a) Held to Maturity:	413,125	-	-	413,125	-	-
	a. Kenya Government securities	413,125	-	-	413,125	-	-
	b. Other securities	-	-	-	-	-	-
	b) Available for sale:	405,534	439,667	461,247	405,534	439,667	461,247
	a. Kenya Government securities	318,534	288,167	278,747	318,534	288,167	278,747
	b. Other securities	87,000	151,500	182,500	87,000	151,500	182,500
6	Deposits and balances due from local banking institutions	5,446,180	6,827,190	8,267,239	5,446,180	6,827,202	8,267,252
7	Deposits and balances due from banking institutions abroad	12,503	31,086	31,086	12,503	31,086	31,086
8	Tax recoverable	-	-	-	-	-	-
9	Loans and advances to customers (net)	31,690,282	35,215,897	37,247,162	31,690,282	35,215,897	37,247,162
10	Balances due from banking institutions in the group	-	-	-	-	-	-
11	Investments in associates	-	-	-	-	-	-
12	Investments in subsidiary companies	255,120	255,120	255,120	-	-	-
13	Investment in Joint ventures	86,700	190,800	190,800	86,700	190,800	190,800
14	Investment properties	-	-	-	530,899	117,822	88,670
15	Property and equipment	725,758	939,444	931,464	731,680	945,515	937,505
16	Prepaid operating lease rentals	40,672	40,325	40,210	47,168	46,685	46,524
17	Intangible assets	232,449	395,935	428,185	232,449	395,935	428,185
18	Deferred tax asset	220,193	313,116	313,116	272,637	313,278	313,278
19	Retirement benefit asset	-	-	-	-	-	-
20	Other assets	340,402	367,214	439,391	336,823	1,126,173	1,116,788
21	TOTAL ASSETS	42,521,969	46,755,111	50,361,123	42,859,031	47,389,377	50,884,600
B.	LIABILITIES						
22	Balances due to Central Bank of Kenya	-	-	-	-	-	-
23	Customer deposits	24,622,101	26,588,851	28,682,529	24,553,822	26,507,204	28,521,986
24	Deposits and balances due to local banking institutions	-	-	-	-	-	-
25	Deposits and balances due to foreign banking institutions	-	-	-	-	-	-
26	Other money market deposits	-	-	-	-	-	-
27	Borrowed funds	11,977,905	14,016,374	15,127,091	12,235,745	14,363,650	15,474,367
28	Balances due to banking institutions in the group	-	-	-	-	-	-
29	Tax payable	34,250	68,845	143,279	15,124	71,471	155,373
30	Dividends payable	23,858	47,710	47,212	23,858	47,710	47,212
31	Deferred tax liability	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-
33	Other liabilities	501,983	351,478	448,936	670,606	539,835	573,976
34	TOTAL LIABILITIES	37,160,097	41,073,258	44,449,047	37,499,155	41,529,870	44,772,914
C.	SHAREHOLDERS' FUNDS						
35	Paid up /Assigned capital	1,153,000	1,155,350	1,155,350	1,153,000	1,155,350	1,155,350
36	Share premium/(discount)	1,552,173	1,554,523	1,554,523	1,552,173	1,554,523	1,554,523
37	Revaluation reserves	512,332	512,332	512,332	512,332	512,332	512,332
38	Retained earnings/Accumulated losses	1,745,911	1,918,942	1,870,577	1,743,915	2,096,596	2,070,187
39	Statutory loan loss reserves	195,789	238,371	485,959	195,789	238,371	485,959
40	Other Reserves	(9,503)	20,515	51,515	(9,503)	20,515	51,515
41	Proposed dividends	161,420	231,070	231,070	161,420	231,070	231,070
42	Capital grants	50,750	50,750	50,750	50,750	50,750	50,750
43	TOTAL SHAREHOLDERS' FUNDS	5,361,872	5,681,853	5,912,076	5,359,876	5,859,507	6,111,686
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	42,521,969	46,755,111	50,361,123	42,859,031	47,389,377	50,884,600

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HOUSING FINANCE

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES



II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 31 MARCH 2014	Bank			Group Consolidated		
		31.03.2013	31.12.2013	31.03.2014	31.03.2013	31.12.2013	31.03.2014
		Unaudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)
1	INTEREST INCOME						
1.1	Loans and advances	1,218,130	4,888,272	1,281,868	1,218,130	4,888,272	1,282,312
1.2	Government securities	24,257	46,536	8,788	24,257	46,536	8,788
1.3	Deposits and placements with banking institutions	115,814	505,251	145,538	115,814	505,251	145,538
1.4	Other Interest Income	-	-	-	-	-	-
1.5	Total interest income	1,358,201	5,440,059	1,436,194	1,358,201	5,440,059	1,436,638
2	INTEREST EXPENSES						
2.1	Customer deposits	400,572	1,598,748	465,755	400,571	1,598,378	465,045
2.2	Deposits and placement from banking institutions	-	-	-	-	-	-
2.3	Other interest expenses	292,513	1,288,304	319,539	292,513	1,288,304	319,539
2.4	Total interest expenses	693,085	2,887,052	785,294	693,084	2,886,682	784,584
3	NET INTEREST INCOME/(LOSS)	665,116	2,553,007	650,900	665,117	2,553,377	652,054
4	OTHER OPERATING INCOME						
4.1	Fees and commissions on loans and advances	20,151	155,907	63,275	20,151	155,907	63,275
4.2	Other fees and commissions	14,224	49,605	15,857	27,262	90,033	34,787
4.3	Foreign exchange trading income/(Loss)	-	1,567	13,680	-	1,567	13,680
4.4	Dividend Income	-	2,250	-	-	2,250	-
4.5	Other income	31,156	94,989	27,971	31,651	1,118,613	106,127
4.6	Total Non-interest income	65,531	304,318	120,783	79,064	1,368,370	217,869
5	TOTAL OPERATING INCOME	730,647	2,857,325	771,683	744,181	3,921,747	869,923
6	OPERATING EXPENSES						
6.1	Loan loss provision	58,632	280,893	89,389	58,632	280,893	89,389
6.2	Staff costs	207,988	803,880	205,600	209,331	804,060	212,520
6.3	Directors' emoluments	6,629	11,474	4,854	6,629	11,474	4,854
6.4	Rental charges	5,665	23,273	4,387	6,091	24,859	5,135
6.5	Depreciation charge on property and equipment	15,789	69,071	23,302	15,854	69,345	23,378
6.6	Amortisation charges	2,109	10,398	2,965	2,109	10,398	2,965
6.7	Other operating expenses	163,758	444,907	156,582	165,626	1,240,362	215,710
6.8	Total Other Operating Expenses	460,570	1,643,896	487,079	464,272	2,441,391	553,951
7	Profit/(loss) before tax and exceptional items	270,077	1,213,429	284,604	279,909	1,480,356	315,972
8	Exceptional items	-	-	-	-	-	-
9	Profit/(loss) after exceptional items	270,077	1,213,429	284,604	279,909	1,480,356	315,972
10	Current tax	(81,023)	(497,383)	(85,381)	(84,279)	(525,801)	(94,791)
11	Deferred tax	-	92,923	-	-	40,641	-
12	Profit/(loss) after tax and exceptional items	189,054	808,969	199,223	195,630	995,196	221,181
13	Other Comprehensive Income						
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	27,000	57,018	31,000	27,000	57,018	31,000
13.3	Revaluation surplus on Property, plant and equipment	-	-	-	-	-	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	-	-	-	-	-	-
14	Other Comprehensive Income for the year net of tax	27,000	57,018	31,000	27,000	57,018	31,000
15	Total comprehensive income for the year	216,054	865,987	230,223	222,630	1,052,214	252,181
	Earnings per share	3.28	3.50	3.45	3.39	4.31	3.83
	Dividend per share	-	1.75	-	-	1.75	-

HOUSING FINANCE

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES



III	DISCLOSURES AS AT 31 MARCH 2014	Bank			Group Consolidated		
		31.03.2013	31.12.2013	31.03.2014	31.03.2013	31.12.2013	31.03.2014
		Unaudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)
1	Non-Performing Loans and Advances						
a)	Gross non-performing loans and advances	2,682,769	3,209,739	3,583,982	2,682,769	3,209,739	3,583,982
b)	Less: Interest in Suspense	199,823	191,031	157,113	199,823	191,031	157,113
c)	Total non-Performing loans and advances (a-b)	2,482,946	3,018,708	3,426,869	2,482,946	3,018,708	3,426,869
d)	Less: Loan loss provisions	335,489	521,728	835,908	335,489	521,728	835,908
e)	Net non-performing loans and advances(c-d)	2,147,457	2,496,980	2,590,961	2,147,457	2,496,980	2,590,961
f)	Discounted value of securities	2,147,457	2,496,980	2,590,961	2,147,457	2,496,980	2,590,961
g)	Net Exposure(e-f)	-	-	-	-	-	-
2	Insider loans and advances						
a)	Directors, shareholders and associates	-	-	-	-	-	-
b)	Employees	813,187	814,590	795,066	813,187	814,590	795,066
c)	Total insider Loans and Advances	813,187	814,590	795,066	813,187	814,590	795,066
3	Off-Balance Sheet items						
a)	Letters of credit, guarantees and acceptances	17,179	31,518	39,317	17,179	31,518	39,317
b)	Other contingent liabilities	-	-	-	-	-	-
c)	Total contingent liabilities	17,179	31,518	39,317	17,179	31,518	39,317
4	Capital Strength						
a)	Core capital	3,953,161	3,993,914	3,845,937			
b)	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000			
c)	Excess/Deficiency	2,953,161	2,993,914	2,845,937			
d)	Supplementary capital	2,129,857	2,252,141	2,276,940			
e)	Total capital (a+d)	6,083,018	6,246,055	6,122,877			
f)	Total risk weighted assets	26,983,635	28,946,161	31,315,066			
g)	Core capital /Total deposit liabilities	16.06%	15.02%	13.41%			
h)	Minimum Statutory Ratio	8.00%	8.00%	8.00%			
i)	Excess/Deficiency	8.06%	7.02%	5.41%			
j)	Core capital /Total risk weighted assets	14.65%	13.80%	12.28%			
k)	Minimum Statutory Ratio	8.00%	8.00%	8.00%			
l)	Excess/Deficiency (j-k)	6.65%	5.80%	4.28%			
m)	Total capital /Total risk weighted assets	22.54%	21.58%	19.55%			
n)	Minimum Statutory Ratio	12.00%	12.00%	12.00%			
o)	Excess/Deficiency (m-n)	10.54%	9.58%	7.55%			
5	Liquidity						
a)	Liquidity Ratio	34.95%	33.12%	34.50%			
b)	Minimum Statutory Ratio	20.00%	20.00%	20.00%			
c)	Excess(Deficiency) (a-b)	14.95%	13.12%	14.50%			

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.housing.co.ke. They may also be accessed at the institutions head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi

Signed 
CHIEF EXECUTIVE OFFICER

Signed..... 
CHAIRMAN